Virginia Tech
Department of Economics
Fall 2026

ECON 2006: Principles of Economics (Macroeconomics)[1]

Last updated: August 26

Instructor: Ph.D. [c] Martin A. Vargas Alvines (mavargasalvines@vt.edu)

Class Time: Mondays, Wednesdays, and Fridays
9:05 a.m. – 9:55 a.m.

Class Location: Architecture Annex, room 07 (Maps)

Instructor Office Hours: Mondays, Wednesdays, and Fridays
8:00 a.m.– 9:00 a.m. in Architecture Annex, room 07
4:00 p.m.– 5:00 p.m. in 3055, Pamplin Hall (3rd floor)
Or by appointment (email)

Course Description and Objectives

This course is the first formal exposure students have to the world of macroeconomics, the branch of economics that studies the behavior of large collections of economic agents. It focuses on the aggregate behavior of consumers and firms, the behavior of governments, the overall level of economic activity in individual countries, the economic interactions among nations, and the effects of fiscal and monetary policy. Macroeconomics is distinct from microeconomics in that it deals with the overall effects of the choices that all economic agents make on the economy, rather than on the choices of individual consumers or firms.

We will move quickly and cover a large amount of material. I advise you to prepare for class and keep up with the material, as the course does not lend itself to memorization or all-night cram sessions. Students who consistently attend class, keep up with the work, and put in genuine effort should be successful.

[1] Important: You should carefully read all information given in this syllabus. If you want to email me with a question, you should check the syllabus to see if your question is answered here before asking me. As a course policy, I direct students to the syllabus for questions already covered in that document.

How to Succeed in This Course

This course moves quickly and builds cumulatively, so plan on roughly 6–9 hours per week outside class reading, reviewing notes, and working practice problems (cramming the night before an exam will not work here). The most effective students read the assigned chapter before the class it's covered in, attend office hours early rather than the week of an exam, and form a study group to talk through problem sets (collaboration is encouraged, as long as your written answers are your own). If a concept isn't clicking, come to office hours and/or free tutoring hours: they're designed to be walk-in, so there's no need to wait for a "good enough" question.

Prerequisites

ECON 2005, minimum grade of P.

Course Website

All materials for the course are accessible through Canvas: https://canvas.vt.edu/courses/234760

Course Materials

1. Principles of Macroeconomics, 2nd edition.
   Authors: Betsey Stevenson and Justin Wolfers.
   Publisher: Macmillan Publishers.
   ISBN: 9781319432089 (eBook) or 9781319330170 (paperback)
   Available in the bookstore and for direct purchase through macmillanlearning.com.
2. Paper/pen or pencil to take notes or an iPad/tablet and Apple pencil/stylus.
   Note: Laptops are prohibited during class.
   Phones may not be used for taking notes. They should be silenced and used only when instructed by the instructor.

Course outline

The instructor reserves the right to change the course material if he deems it necessary due to class postponements caused by inclement weather, instructor illness, or the pace of the course. I will notify you about changes via an announcement on Canvas. The suggested pace for the readings and assignments is given on each week's module launch page.

Module 0 and 1 Introduction to Macroeconomics, Economic Measurement: GDP (Ch 9), August 24
Module 2 Econ. Measurement: Economic Growth (Ch 10), August 31
Module 3 Econ. Measurement: Unemployment (Ch 11), September 9 [Sept. 7 Labor Day-No class]
Module 4 Economic Measurement: Inflation and Money (Ch 12), September 14
Module 5 Consumption and Savings (Ch 13), September 21
Module 6 Investment (Ch 14), September 28
Midterm Exam 1 Wednesday, October 7 (Ch 10-14)
Fall Break: October 9-No class

Module 7 The Financial Sector (Ch 15), October 12
Module 8 International Trade and Finance (Ch 16), October 19
Module 9 Business Cycles (Ch 17), October 26
Module 10 Aggregate Demand and Aggregate Supply (Ch 21), November 2
Module 11 Monetary Policy (Ch 22), November 9
Midterm Exam 2 Wednesday, November 18 (Ch 15-17 and 21-22)
Thanksgiving break: November 21-29-No class

Module 12 Fiscal Policy (Ch 23), November 30
Module 13 The Phillips curve (Ch 19), December 7
Wrap-up/Review December 9
Final Exam Monday, December 14 at 10:05 a.m.-12:05 p.m. (Ch 10-17 and 21-23)
Final grades are viewable in Hokie SPA and on the official transcript: December 21.

Requirements (and grading weight)
A few policies in this syllabus are designed on purpose, not arbitrarily. Homework is split into seven shorter quizzes instead of a few large problem sets, and your two lowest scores are dropped, so you get frequent low-stakes practice and room for an off week without it tanking your grade. Similarly, if your final exam score beats your lowest midterm, it replaces that midterm grade, so a single bad day on a midterm doesn't define your semester, provided you demonstrate mastery by the end. These structures exist to reward consistent effort and improvement over the semester, not just performance on any one day.

A. Participation (10%)

You are expected to be an active participant in class discussion and other learning opportunities. To do this, you must be prepared, so complete all readings and other assignments on schedule. The class activities have been carefully designed to help you achieve the learning outcomes for the course. Missing class or not actively participating will negatively affect your ability to learn the content.

Students should be prepared to contribute to class discussions (by answering questions and/or asking clarifying questions), pointing out mistakes on the board, and presenting homework that appears on the slides.

Here's how your participation grade is calculated:

Component	Weight	How it's earned
Overall participation	50%	Full credit if you participate more than 32 times across the semester
Weekly consistency	30%	(Number of weeks, out of 14, in which you participated at least twice) ÷ 14
High-engagement bonus	20%	Full credit if you participate more than 36 times across the semester

Example: Suppose a student participates 38 times across the semester and participates at least twice in 10 of the 14 tracked weeks. Overall participation: 38 > 32, full 50%. Weekly consistency: 10/14 × 30% = 21.4%. High-engagement bonus: 38 > 36, full 20%. Participation grade = 50% + 21.4% + 20% = 91.4%, posted as 9.1/10.

A one-line clarifying question[2], handwritten and turned in to me at the start of class[3], also counts toward your participation total: this gives students who prefer not to speak up in class a way to demonstrate the same engagement.

The grade will be posted on a 10-point scale, rounded to one decimal place.

B. Homework Assignments, aka Problem Sets (20%)

Homework will involve solving problems and answering questions related to the material we covered in class. The homework will be done online through Canvas.

You may use the textbook, personal notes, or other reference material to do the homework. You may and are encouraged to work with your classmates. However, everyone must turn in their own work and write the answers in their own words.

If homework short/long answers are identical to a classmate's, you may not receive credit for the answer. Please note that all violations will be reported to the Academic Integrity Office in accordance with university policy.

Assignments and due dates will be posted in Canvas. Homework is due at 11:59 p.m. on the specified date. You can get at most 100% on each Homework.

15 percentage points will be deducted for each day if the homework is past the due date. Once the homework solutions are posted, you cannot receive above a 35%.

In total, there are 7 problem sets. I will drop your two lowest homework grades, so only 5 will count toward your final grade. These are spaced to give you low-stakes practice before each exam.

HW Quiz	Modules	Tentative Due Date	Exam Period
HQ1	Modules 1–2	Friday, September 11	Before Midterm 1
HQ2	Modules 3–4	Friday, September 25	Before Midterm 1
HQ3	Modules 5–6	Monday, October 5	Before Midterm 1
HQ4	Modules 7–8	Friday, October 23	Before Midterm 2
HQ5	Modules 9–10	Friday, November 6	Before Midterm 2

[2] I will only consider questions that truly ask for clarification. I will not consider questions that ask for concepts explained in the slides (e.g., *What are net exports and examples?*).

[3] Not at the end.

HW Quiz	Modules	Tentative Due Date	Exam Period
HQ6	Module 11	Monday, November 16	Before Midterm 2
HQ7	Modules 12–13	Friday, December 11	Before Final Exam

Tentative due dates are subject to change. HQ1–HQ3 are due before Midterm 1, HQ4–HQ6 are due before Midterm 2, and HQ7 is due before the final exam.

The final average homework grade will be posted on a 20-point scale, rounded to one decimal place.

C. Midterms (20% each, i.e., total 40%)

There will be two in-class, closed-book midterm exams throughout the semester. For midterms, you are allowed to bring in a single-sided 8.5 x 11-inch sheet of paper with anything on it legible to your naked eye.

The exam format will be a combination of question formats that may include multiple choice, dropdown (fill-in-the-blank type), select all true statements, calculation questions, and short answer questions.

Both midterms will take place during the regularly scheduled class time in our usual classroom. The first midterm will be on Wednesday, October 07, and the second on Wednesday, November 18. The grade will be posted on a 20-point scale, rounded to one decimal place.

At the end of the semester, if your final exam grade is higher than your lowest midterm grade, the lowest midterm exam grade will be dropped and replaced by the final exam grade. **Note**: You must take all exams or make prior arrangements to take advantage of using the final exam as a replacement exam grade.

D. Final Exam (30%)

The final exam will take place on Monday, December 14th, at 10:05 a.m.–12:05 p.m. in our usual classroom unless you are informed otherwise. This final exam is almost cumulative, and your grade on it may replace your lowest midterm score.

You are allowed to bring two 8.5 x 11-inch sheets of paper with anything legible to your naked eye. The grade will be posted on a 30-point scale, rounded to one decimal place.

You MUST take the exam at the scheduled date and time. If you happen to have too many exams in a single day (i.e., 3 exams in 24 hours) and wish to reschedule the final exam, you must contact the appropriate VT channel (presumably the Office of the Registrar) and obtain permission from the Dean's office (Note: there is a deadline for this). If you miss the

final exam and do not have an excuse from the Dean, your midterm scores will be unaffected. There will be no makeup for the final exam, unless you have a documented emergency (e.g., serious injury, death of a family member).

In summary, final grades for the course will be based on the following:

Participation	10%
Homework Assignments	20%
Midterms	20% + 20% = 40%
Almost-cumulative Final	30%

Letter grades will be assigned as follows:

A	94-100	C+	76-77.99
A-	90-93.99	C	73-75.99
B+	85-89.99	C-	70-72.99
B	81-84.99	D	60-69.99
B-	78-80.99	F	0-59.99

Important dates

1. Monday, September 7: Labor Day-No class
2. Tuesday, October 6: Last day to change grade option from A-F to P/F & to drop individual courses.
3. *Wednesday, October 7: Exam 1. In-class midterm exam 1 covers Modules 0-6 and will be in-person in class.*
4. Friday, October 9: Fall break- no class
5. Monday, October 26: Last day to resign and/or change grade option from P/F to A-F.
6. *Wednesday, November 18: Exam 2. In-class midterm exam 2 covers Modules 7-11 and will be in-person in class.*
7. November 21-29: Thanksgiving break- no classes
8. *Monday, December 14: Final Exam. Modules 2-12, in person from 10:05 a.m.-12:05 p.m.*

Grading Questions or Disputes

I want you to understand how you are evaluated in this class. If you have any questions about your grade or feedback on coursework, please email me to schedule a time to meet. I kindly ask that you wait at least 24 hours after work has been returned before requesting an appointment. This is to give you time to more thoroughly consider the questions you have about your work.

Regrade requests must be submitted within one week of the grade being posted, and only after the 24-hour waiting period described above. Requests submitted after this one-week window will not be considered, except in cases of a documented emergency as described in the Missed Exams section.

I will calculate the final course grade by using the grades with one or two decimals; the final course grade will not be rounded to the nearest integer. For example, 69.4% will not be rounded to 70, 69.5% will not be rounded to 70, and 69.9% will not be rounded to 70.

Missed Exams

You must have a final exam grade to receive a grade for the class. Make-up exams are an exception only under the following circumstances:

a) A documentable university-sponsored event. Documentation must be provided two weeks in advance of an exam and will be verified.
b) Athletes with competition-related conflicts need to bring official documentation the first week of class or within 24 hours of the event being scheduled if it is scheduled in the first week of class. This policy does not apply to Club, recreational, or intramural sports. No allowance will be made to miss an exam for the club, recreational, or intramural activities.
c) A documentable emergency. In order to be excused, you need to get your reason for missing the exam approved either by the Dean of Students' Office (for a family emergency), Schiffert Health Center (for physical illness), or Cook Counseling Center (for mental health issues).

If you miss an exam (not the final exam), I will either give you a make-up exam or weigh your other exams more heavily based on my best judgment.

Free tutoring

Free tutoring is available from Economics Department graduate students (in-person only): Monday through Thursday from 6 p.m. to 8:00 p.m. in Pamplin 3028.

Attendance

Attendance is not mandatory, but as mentioned in the **Requirements** part, one component fundamentally relies on attendance: Participation (10%).

Use of Personal Technology

No electronic devices (laptops/smartphones) are allowed during normal class. Tablets/iPads to take notes are allowed.
Electronic devices (laptops) are required during the exams.

Please be mindful that technology use can distract those around you and interfere with their learning. Keep phones on silent during class to avoid interruptions. If you must take an urgent call, quietly step outside before answering.

Canvas

Our website within Canvas (https://canvas.vt.edu/) will have the slides, class assignments, information, and more. Please check the website regularly for class updates.

Instructor Office Hours and Attention via Email

I encourage students to refrain from contacting me via email with questions related to the course material. Instead, I strongly recommend visiting my office for personalized assistance with your questions and doubts.

My office hours are designed to be accessible without the need for appointments, making them "open" for anyone who requires assistance. However, please keep in mind that you may occasionally need to share the time slot with others or wait briefly if I am already engaged in a discussion with other students.

I highly encourage you to be proactive about attending office hours if you find yourself in need of clarification or struggling with any aspect of the material. Being proactive ensures you get support when you need it.

I typically respond to emails twice a week:

I respond to those emails that were sent on:	On:
Saturday, Sunday, and Monday	Tuesday
Tuesday, Wednesday, and Thursday	Friday

Any questions emailed to me concerning course material will be answered via email and could be shared with all students in the class anonymously.

COVID, Flu, and Sickness Policy

In the case of COVID or other contagious diseases, we will follow the current guidance from the Virginia Department of Health. The Virginia Department of Health recommends staying home when exhibiting signs of respiratory illness and returning to school when symptoms have improved for at least 24 hours and there is no sign of fever. Additionally, it is recommended that upon returning to school or work, you take precautions for five days to prevent the spread of illness to others. If you do get sick, please let me know. I will make reasonable accommodations to make up any material. This policy may be updated as recommendations change.

Use of Generative AI

While the use of AI tools, including ChatGPT, Grok, DeepSeek, Gemini, and other AI-powered writing or research assistive technologies, may be tempting, it is important to consider the ethical implications of their use.

In this course, generative AI tools may only be used for specific assignments that are designated by the instructor. Any assignment requiring use of AI will be clearly outlined in the assignment instructions and may include tasks such as brainstorming, analyzing information, or editing. For all other assignments and exams, the use of AI tools is prohibited and constitutes unauthorized assistance under the Honor Code. When AI use is permitted, students must disclose how AI was used through appropriate citations. If you are ever uncertain about the use of AI, it is your responsibility to ask your faculty member before proceeding.

If an answer appears to have been generated by AI, I will use up to four different AI tools to assess it. Each tool will provide a probability score indicating how likely it is that the answer was AI-generated. If the average of these scores is above 85%, the answer will be invalid and will not receive credit.

Academic Honesty
One of the goals of this course is to prepare you to do well in advanced economics courses, so you must develop a solid understanding of the material. To that end, while collaboration on problem sets is encouraged in this course, copying is not. Students are expected to understand and abide by the University's honor code (https://honorsystem.vt.edu/).

Using any AI source to solve exams or homework will be reported to the Academic Integrity Office in accordance with university policy.

Withdrawal
Sometimes students may need to withdraw from a class because of personal or academic reasons. If your performance in the class is not where you want it to be or if you are experiencing difficulties, please don't hesitate to contact me before withdrawing.
Ask your academic advisor what the last day is to drop individual courses.

Undergraduate Academic Integrity Statement
The Undergraduate Honor Code pledge that each member of the university community agrees to abide by states:

"As a Hokie, I will conduct myself with honor and integrity at all times. I will not lie, cheat, or steal, nor will I accept the actions of those who do."

Students enrolled in this course are responsible for abiding by the undergraduate Honor Code on each assignment and/or exam. A student who has doubts about how the Honor Code applies to any assignment is responsible for obtaining specific guidance from the course instructor before submitting the assignment for evaluation. Students are strongly discouraged from misusing unauthorized online sources, including generative artificial intelligence outlets. Students are strongly encouraged to consult their faculty members regarding the use of such outside materials, as the misuse of these sources may constitute a violation of the Honor Code. Ignorance of the rules does not exclude any member of the University community from the requirements and expectations of the Honor Code.

Academic Accommodations
Virginia Tech welcomes students with disabilities into the University's educational programs. The University promotes efforts to provide equal access and a culture of inclusion without altering the essential elements of coursework. If you anticipate or experience academic barriers that may be due to disability, including but not limited to ADHD, chronic or temporary medical conditions, deaf or

hard of hearing, learning disability, mental health, or vision impairment, please contact the Services for Students with Disabilities (SSD) office (540-231-3788, ssd@vt.edu, or visit ssd.vt.edu). If you have an SSD accommodation letter, please meet with me privately during office hours as early in the semester as possible to deliver your letter and discuss your accommodations. You must give me reasonable notice to implement your accommodations, which is generally 5 business days and 10 business days for final exams.

If there are aspects of this course that prevent you from learning or exclude you, please let me know as soon as possible. Together, we'll develop strategies to meet both your needs and the requirements of the course.

Students with test-taking accommodations from SSD should contact the instructor by September 8th to make arrangements for the entire semester. Once your exam is scheduled, the instructor won't be able to reschedule it to another time/date due to logistical reasons. So, please use your accommodations if you have them once you take an exam. There is no remedy for a poor grade.

Basic Needs Statement
For any student who has difficulty affording groceries, accessing sufficient food to eat every day, or who lacks a safe and stable place to live, and if you believe this may affect your performance in this course, you are urged to contact the Dean of Students office for support at 540-231-3787 or complete an interest form to participate in The Market at Virginia Tech.

The Dean of Students, through The Market at Virginia Tech, offers food options and other resources. There is also a Student Emergency Fund program. If you are comfortable doing so, please notify your departmental advisor or me of your situation. This will enable them to provide any resources they have access to.

Lauren's Promise: I will listen and believe you if someone is threatening or harassing you.

Lauren McCluskey, a 21-year-old student at the University of Utah and the daughter of economist Jill McCluskey, was murdered on October 22nd, 2018, by a man she had briefly dated. I am committed to doing what I can to make sure this does not happen again.

If you are in immediate danger, call 911. If you are experiencing sexual assault, domestic violence, stalking, or harassment, you can report it to me. You should be aware that I am a mandatory reporter, which means that I am required to report these instances to the university's Title IX Coordinator or Deputy Title IX Coordinator to investigate. **You can also learn about your options (both on and off-campus, as well as confidential or not) at** https://civilrights.vt.edu/title-ix-vawa.html. If you need support for your mental or emotional health for any reason, you can talk to me. You can also find helpful resources at

https://ucc.vt.edu/.

Weather Policy
If the University is officially closed on an exam or assignment due date, the exam or the due date of the assignment will be moved to the next scheduled class date.

Mental Health Wellness
Ensuring the well-being of our students, both academically and mentally, is a top priority at Virginia Tech and for me. If you find yourself feeling overwhelmed by academic demands, grappling with mental health challenges, or concerned about the welfare of a friend, please know that there are resources available to support you:

- Cook Counseling: Call 540-231-6557 to schedule an appointment and/or 24/7 crisis support or go online at ucc.vt.edu for more info.
- Dean of Students Office: Call 540-231-3787 for general advice. Call 540-231-6411 about after-hours crisis or go online at dos.vt.edu for more info.
- Hokie Wellness: Go online to hokiewellness.vt.edu for more info about health and wellness workshops and consultations.

You can find a full listing of campus resources at Well-being at Virginia Tech.